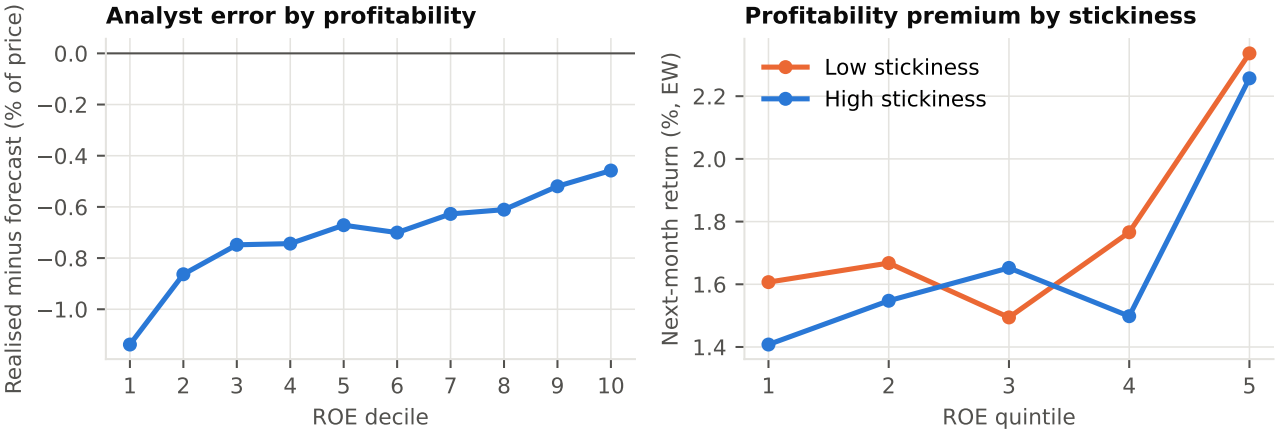
Idea 6 PoC — Sticky analyst expectations and the profitability anomaly

Proof of concept, October 2026. Code: `idea06_sticky_expectations/run.py`.

Question and design

Bouchaud, Krueger, Landier and Thesmar (2019, JF) explain the US profitability anomaly with sticky expectations: forecasters update too slowly, stay too pessimistic about profitable firms, and the premium is larger where expectations are stickier. Does this hold in China? The sample is I/B/E/S-covered firm-months, 2005–2020. The consensus error is $FE_m = (R_m - F_m)$, where F_m is the price-scaled 12-month-forward consensus and R_m the I/B/E/S trailing EPS twelve months later. ROE is *realised* TTM EPS divided by book value per share. The bonus-adjusted EPS is first converted back to each month's share basis, using share events inferred from the price and total-return series. Firm-level stickiness is proxied by the autocorrelation of the firm's monthly consensus revisions over the previous 24 months; sticky updating spreads news over several revisions. All return tests are next-month, with Newey–West t-statistics.



Test	Specification	Estimate (t)
Consensus underreaction (CG)	FE on 3-month revision, all	0.14 (2.5)
	high-stickiness firms / low-stickiness firms	0.28 (4.3) / 0.04 (0.6)
Pessimism about profitable firms	FE on ROE	0.006 (2.0)
Profitability anomaly	ROE quintiles, Q5−Q1 raw / CH-4 α (%/month)	0.90 (3.3) / 0.57 (2.0)
	FM slope per 1 SD of ROE, with controls	0.21 (2.9)
Role of stickiness	Q5−Q1, high minus low stickiness	0.12 (0.4)
	FM interaction ROE × stickiness	0.01 (0.1)
Forecast-contaminated ROE	I/B/E/S trailing EPS / BV, FM slope	−0.36 (−5.0)
	jointly: realised ROE / I/B/E/S ROE	0.60 (8.6) / −0.62 (−8.0)

Findings

- **The consensus is sticky, and the proxy finds where.** Forecast errors follow the direction of recent revisions (CG slope 0.14), confirming Li and Li (2025) on our data. The slope is concentrated in firms whose past revisions are autocorrelated (0.28 against 0.04), which validates the stickiness proxy out of sample.
- **The profitability anomaly exists in China,** at about 0.6–0.9% per month, and analysts are *relatively* too pessimistic about profitable firms, as in the US. However, Chinese analysts are optimistic everywhere: by 1.1% of price for the lowest ROE decile and 0.5% for the highest.
- **Stickiness does not explain the anomaly here.** The premium is the same for sticky and non-sticky firms, so the cross-sectional prediction of Bouchaud et al. fails with this proxy.
- **The measurement trap is itself a finding.** "ROE" built from the I/B/E/S trailing field, which blends in forecasts, predicts returns with the *opposite* sign. Controlling for realised ROE, the forecast part predicts low returns, the same optimism effect as in Idea 5.

Assessment and next steps

Publishable only with a better stickiness measure. Bouchaud et al. estimate it at the analyst level, which needs I/B/E/S detail data (individual forecasts and revisions). The most promising angle is the asymmetry: optimism concentrated in unprofitable firms, and whether it explains the low returns of low-ROE stocks. This overlaps with Idea 5, so the two could merge into one paper on analyst optimism and anomalies in China.